BUSINESS PLANNING: TAXATION & COMPLIANCE

Time allowed- 3:30 hours
Total marks- 100

Suggested Answer
Nov-Dec 2024

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Question no 1

Xerox Technology Limited ("Xerox") is a leading technology firm that has been engaged in various projects under the ICT division of the Government of Bangladesh since 2001. Xerox follows IFRS for maintaining its accounts and conducts annual audits with a top-tier audit firm in the country. Its financial year ends on June 30th each year.

For the assessment year 2022-23, Xerox submitted its income tax return on time under the self-assessment method and obtained a tax clearance certificate. However, the return was selected for tax audit, and during the audit, the Deputy Commissioner of Taxes (DCT) disallowed certain expenses, leading to an additional tax demand of Tk. 4,780,000 and delay interest of Tk. 1,250,000. The disallowances were for:

1) Canteen Expenses: Tk. 4,320,000
2) Interest on Right of Use (ROU) Assets: Tk. 2,700,000
3) Depreciation on ROU Assets: Tk. 9,000,000
4) Reversal of Bad Debt Provision: Tk. 3,100,000

Xerox filed an appeal before the Commissioner of Taxes (Appeals) and received an appeal order on August 30, 2024. The Commissioner upheld some disallowances and set-aside others. The snapshot of the appeal order was as follows:

Sl. No	Item	Disallowance by the DCT	Decision of appeal	Reasons for disallowance
1.	Canteen Expenses	Tk. 4,320,000	Upheld	Treated as entertainment
2.	Interest on ROU Assets	Tk. 2,700,000	Set-aside	non-business expenses.
3.	Depreciation on ROU Assets	Tk. 9,000,000	Set aside	non-business expenses.
4.	Reversal of Bad Debt	Tk. 3,100,000	Upheld	Not allowable as it is a provision.

As the tax consultant for Xerox, you requested detailed information on the office canteen expenses and the reversal of bad debts to understand the actual scenario. You received the following response:

"Dear Consultant,

Thank you for your email. Please find below the background information on the canteen expenses and bad debt reversal for your reference:

Canteen Expenses:

Xerox operates a canteen that provides snacks, tea, coffee, and fresh water to its employees. The consumption limit is based on the employee's designation, but in no case does the daily amount exceed Tk. 100 per person, while fresh water is provided free of charge.

Reversal of Bad Debt:

The company follows a policy for bad debt provisions, recognizing 50% of the provision for receivables overdue between 6 to 12 months, and 100% provision for receivables overdue for more than 12 months. In the relevant income year, there was a reversal of prior years' bad debt

provisions based on these calculations. We have consistently experienced that bad debt expenses are disallowed by the DCT every year. Please also note that no bad debt has been written off since the company's operations began."

Additional Information:

- Consider todays date is October 20, 2024.
- Consider Corporate tax rate for Xerox is 25%.

Requirements:

a) Advise Xerox about the next course of action based on the appeal order, and provide comments on timelines and further costs to be incurred by Xerox. **[Marks-3]**

b) Draft a written submission to be filed before the DCT for justifying the deduction of interest and depreciation of ROU Assets. **[Marks-5]**

c) Draft the grounds of appeal for the expenses upheld by the Commissioner of Taxes (Appeal) to be filed before the Tax Appellate Tribunal. Provide justification for your arguments in support of or against the decision of the Commissioner of Taxes (Appeal) based on the provisions of the Income Tax Act, 2023. **[Marks-4]**

d) Assume Xerox failed to obtain a favorable judgment from the reassessment by the DCT as well as from the Tax Appellate Tribunal. Explain the options available to Xerox for seeking justice, including timelines and costs likely to be incurred by Xerox**.[Marks-3]**

Answer to the Question# 1(a):

The Commissioner of Taxes (Appeals) upheld two items—canteen expenses and reversal of bad debts—and set-aside other two expenses—interest on ROU assets and depreciation of ROU assets. The expenses set-aside by the Appeal Commissioner will be re-assessed by the Deputy Commissioner of Taxes (DCT), and Xerox will have an opportunity to explain its position regarding the admissibility of these expenses.

For the expenses that were upheld, Xerox has the option to either file 2nd appeal before the Taxes Appellate Tribunal or accept the decision.

Set-aside expenses may not trigger any additional cost for the company, whereas appeal to the Taxes Appellate Tribunal requires 10% disputed tax to be deposited before filing 2nd appeal which may either be waived by the Zonal Commissioner if an application seeking the waiver is granted. Tribunal need to be filed within 60 days from the date of receiving Commissioner (Appeal)'s order, and Tribunal fee would be Tk. 1,000.

Answer to the Question# 1(b):

The Deputy Commissioner of Taxes
Circle-XX, Zone-YY
Dhaka

Subject: Explanation for Addition of Interest and Depreciation on Right-of-Use (ROU) Assets.

Respected Sir,

We respectfully submit our explanation regarding interest and depreciation on Right-of-Use (ROU) assets, which were not considered in the original assessment. In accordance with the provisions of the Income Tax Act, 2023, the justifications are detailed below:

Depreciation on ROU Assets

ROU assets are recognized in the books of accounts in compliance with IFRS 16, and the depreciation charged on ROU assets in determining accounting profit aligns with the principle of matching expenses with revenues. This is not an actual expense rather an accounting adjustment, therefore, it requires an add back for the purpose of calculating taxable profit. Section 49 of the Income Tax Act, 2023, specifically states the inadmissibility of depreciation on ROU assets.

Interest on ROU Assets

Interest on ROU assets, which represents the financing cost of using leased assets, is an expense recognized to compute accounting profit. This interest expense is also inadmissible and should be added back to determine taxable income, as referred to in section 49 of the Income Tax Act, 2023.

In light of the above, we respectfully submit that both interest and depreciation on ROU assets are expenses that legitimately require add back in computing taxable income under section 49 of the Income Tax Act, 2023. However, the Income Tax Act permits the deduction of actual rental payments for leased assets for which ROU assets are created in the books of accounts.

We kindly request your consideration in the lawful treatment of interest and depreciation on ROU assets.

Thank you for your attention to this matter.

Sincerely,
XXXXXX

Answer to the Question# 1(c):

Grounds of Appeal to be submitted at Taxes Appellate Tribunal

Ground 1: Canteen Expenses

The learned Commissioner of Taxes (Appeals) unlawfully upheld the disallowance of canteen expenses, treating them as entertainment expenses. Canteen expenses serve the welfare of employees by providing refreshment during working hours and are integral to maintaining a productive work environment and expensed solely for the purpose of business as referred in Section 49(v). These are not the costs incurred for the purpose of entertaining clients, customers, or business associates.

Canteen expenses are directly related to employee welfare, making them admissible under the Income Tax Act. Therefore, the disallowance of these legitimate business expenses is unlawful and should be deleted.

Ground 2: Reversal of Bad Debts

Facts: The Commissioner of Taxes (Appeals) also was not justified by upholding the disallowance of reversal of bad debts, assuming it to be an expense rather than an adjustment entry. Reversal of bad debts represents an adjustment to the previous year's bad debt provision, effectively reducing the company's current year profit. It does not constitute a current-year expense, rather, it is a correction of previously overstated expenses.

The reversal aligns with accrual accounting principles by restoring income that had previously been disallowed as provision. This adjustment is not an expense but a restoration of revenue and should not be disallowed under the provisions of the Income Tax Act, 2023. Therefore, this additional income should also be deleted.

Answer to the Question# 1(d):

Xerox may choose to appeal before the Commissioner of Taxes (Appeals) against the DCT's revised order for the expenses set-aside in the 1st appeal. This appeal will not create any additional cost burden for Xerox but must be filed within 45 days from the date of receiving the DCT's revised assessment order.

Xerox may refer the Tribunal's decision to the High Court Division, where the reference application must contain question of law for which remedies are sought. The reference to the High Court Division of the Supreme Court must be made within 90 days from the date of receiving the Tribunal's order. Xerox is required to deposit 25% of the disputed tax. However, the Board may reduce or waive the required deposit amount against application. The High Court fee is Tk. 2,000.

Question no 2

Ms. Kaniz Fatema is the proud owner of a magnificent four-story house located in the prestigious Gulshan area of Dhaka. The first floor of the house is currently rented out to commercial tenant who pays a monthly rent of Tk. 150,000. Moving up to the second and third floors, two families have taken up residence, each paying a monthly rent of Tk. 30,000 by 10 days of the current month after adjustment of advances, which was started from July 2023. To secure their tenancy, each family of second and third floors provided an advance payment of Tk. 360,000, which will be adjusted equally over a period of 24 months.

In addition to the rental income, Ms. Fatema collected a security deposit of Tk. 1,000,000 from the first floor tenant and Tk. 100,000 from each of the tenants on the second and third floors. These deposits serve as a guarantee for the proper use and maintenance of the property.

Ms. Fatema and her family occupy fourth floor for their own residential purposes.

For the fiscal period ending on June 30, 2024, Ms. Fatema made the following payments:

i) Tk. 24,000 for municipal tax, Tk. 4,000 for land development tax and Tk. 36,000 for insurance premium.

ii) For the year 2023-24 Tk. 672,138 was paid as interest on home loan.

iii) Ms. Fatema obtained home loan of Tk. 9,000,000 at an interest rate of 9% effective from 1st July 2021 and made a payment of Tk. 786,393 as interest for the fiscal period 2021-2022, prior to occupying the house starting from July 1, 2022. On 1st July 2023, the opening balance of the loan was Tk. 7,782,021, and the total repayment for the year 2023-24 including interest, was Tk. 1,368,098.

Additional information:

i) Ms. Fatema began renting out her house on July 1, 2023.

ii) She collected Tk. 5,000 per month each from all the tenants as a contribution towards service charges, covering common electricity and other utility expenses.

iii) The tenant on the first floor did not pay rent for the month of September 2023, citing un-favorable market conditions and non-utilization of the premises. Ms. Fatema decided to exempt the rent, fearing the potential loss of a good tenant, and treated it as a vacancy allowance, accordingly Ms. Fatema produced evidence of electric bill as required by law.

iv) For the financial year 2023-24, Ms. Fatema made investments in Sanchaya Patra for an amount of Tk. 10,00,000, fixed deposits with a scheduled bank for Tk. 500,000, and Govt. treasury bond for Tk. 600,000.

v) Assume the annual value of the house is equal to the declared annual rental value and amount spent for repairs & maintenance including rent collection, and various charges didn't exceed the statutory limit.

Requirements:

a) Compute total income and taxes payable for Ms. Fatema for the income year 2023-24 (A/Y 2024-25). **[Marks-6]**

b) Determine the security deposit, unadjusted advance balance, and outstanding loan amount to be included in the Asset & Liability statement for the A/Y 2024-25, specifying whether they should be categorized as assets or liabilities. **[Marks-3]**

Answer to the Question# 2(a):

Ms. Kaniz Fatema
Income Year:1st July 2023 to 30th June 2024
Assessment Year: 2024-25
Computation of total income

Particulars	Note	For Residential purpose (2nd & 3rd floor) (Taka)	For Commercial purpose (1st floor) (Taka)	Total Amount (Taka)
Income from House rent: (Section 35)				
Annual value	1	1,200,000	1,710,000	2,910,000
Less: allowable deductions:				
Statutory deduction for Repair & maintenance	2	300,000	513,000	813,000
Municipal tax (24,000/4 x 3)	3			18,000
Land development tax (4,000/4 x 3)	3			3,000
Insurance premium (36,000/4 x 3)	3			27,000
Current year's interest on home loan (672,138/4 x 3)	3			504,104
1/3rd of Construction period interest [(786,383/3)/4x3]	4			196,598
Total deductions				1,561,702
Total income from House Rent				1,348,298

Calculation of Tax liability considering rate applicable for the A/Y 2024-25:

Tax		Slab	Rate	Amount (Taka)
on 1st		400,000	0.0%	-
next		100,000	5.0%	5,000
next		400,000	10.0%	40,000
Balance		448,298	15.0%	67,240
Total		1,348,298		**112,240**
Investment Tax Rebate: [Note]				**(40,449)**
Net Tax liability				71,791

Calculation of Investment Tax rebate u/s 78 of Income Tax Act 2023:

Description		Amount	Amount	Amount
Investment in Sanchaya patra				1,000,000
Govt. Treasury Bond				600,000
Total Investment in Sanchaya patra and Govt. Treasury Bond				1,600,000
Maximum allowed in Sanchaya patra and Govt. Treasury Bond				500,000
Fixed deposits Taka 500,000 in scheduled bank (not allowed as allowable investment)				-
Total Actual allowable Investment as per 6th Schedule of ITA 2023				500,000
Maximum tax rebate as per section 78 of the ITA 2024:				
(3% of total income) or				40,449
15% of actual allowable investment as per 6th Schedule of ITA 2024				75,000
or				1,000,000
Whichever is lower				40,449
Thus eligible investment tax rebate				**40,449**

Answer to the Question# 2(b):

		Amount (Tk.)	Whether under **Asset** or **Liability**
Security Deposit			
Amount received at the time of lease period starts **(from 1st floor)**		1,000,000	
Amount received at the time of lease period starts **(from 2nd and 3rd floor)**		200,000	
Adjustment (entire amount is refundable at the end of lease period, hence balance remain unchanged)		-	
Balance to be shown in Assets and Liability Statement		1,200,000	**Liability**
Unadjusted Advance			
Amount received at the time of lease period starts (360,000 x 2)		720,000	
Adjustment during the year, shown as income (15,000 x 12 x 2)		(360,000)	
Balance to be shown in Assets and Liability Statement		360,000	**Liability**
Outstanding Loan balance			
Opening balance as on 1st July 2023		7,782,021	
Payment made during the period:			
Total payment including interest	1,368,098		
Interest amount	672,138		
Principal amount paid		695,960	
Balance to be shown in Assets and Liability Statement		7,086,061	**Liability**

Note: 1	Residential use (Tk.)	Commercial use (Tk.)
Rent from 2nd & 3rd floor after adjustment of advance (30,000 x 12 x 2)	720,000	
Rent received from 1st floor (150,000 x 12)		1,800,000
Add: Service charges [(5,000 x 12) x 2 for residential and (5,000 x 12) for commercial]	120,000	60,000
Add: Adjustment of Advance rent from 2nd & 3rd floor (15,000 x 12 x 2)	360,000	
Less: Vacancy allowances (September 2023)		(150,000)
Total rental value	**1,200,000**	**1,710,000**

Note: 2
Statutory allowances for Repairs & maintenance, Rent collection, water, sewerage, other service charges, etc. is 25% for use of house for residential purpose and 30% for use of commercial purpose

Note: 3
Since 3/4th of the house property is used for rental purposes, all expenses have been prorated accordingly.

Note-4

Total interest on loan during construction period	786,393
As per section 38(uma) of the ITA 2023, construction period interest on house building loan paid can be claimed as deduction in three equal installments from the year rent started. So 1/3rd amount (786,393/3)	262,131
Being 3/4th is used for rental purpose, only 3/4th can be claimed. Hence it is 3/4th of 262,231	**196,598**

Question no 3

XYZ Manufacturing Limited is a subsidiary company of XYZ International engaged in the trading, manufacturing and marketing of consumer goods. The company has been operating successfully in Bangladesh for the past 15 years. Below are the financial highlights for the year ended June 30, 2024, along with additional information relevant for computing the total taxable income and tax liability for the assessment year 2024-25:

Particulars		Amount in Tk. Million(m)
Revenue		11,000
Export Sales	5,000	
Local Sales	6,000	
Cost of revenue		(5,500)
Gross profit		**5,500**
Administrative expenses		(1,000)
Selling and distribution expenses		(1,500)
Profit from operations		**3,000**
Finance expense		(140)
Foreign exchange loss		(200)
Realized loss	(50)	
Unrealized loss	(150)	
Other Income		100
Share of profit from associate	40	
Gain from sale of listed company's share	30	
Gain from sale of Vehicle	10	
Dividend Income	20	
Profit before tax		**2,760**

Additional Information:

1) Total outstanding interest aging more than 3 years amounts to Tk. 50 million after paying Tk. 100m from the outstanding balance during the year. Further, finance expense includes interest on a loan amounting to Tk. 100m, out of which nothing was paid during the year under consideration.
2) Ten motor cars have been sold during the year. Details of the sales are:
   Acquisition cost per car was 10m.
   Year of acquisition was AY 2022-23
   Sale proceeds were Tk. 7m per car.
3) AIT paid while importing trading items was Tk. 100m. Import AIT amounting to Tk. 20m was related to the closing balance of the inventory (Not yet sold at the end of the year).
4) Selling expenses include discounts amounting to Tk. 80m, rebates Tk. 40m, and free goods to distributors amounting to Tk. 90m and advertisement amounting to Tk. 60m,
5) Tk. 350m donated to technical and vocational training institute approved by the Ministry of Education.
6) For using the brands of the parent company, the company paid royalty Tk. 300m, which was charged to the cost of sales. Further, the company has allocated management expenses and software charges for using group software amounting to Tk. 200m, which has been included in the administrative expenses.
7) Total excess perquisites were Tk. 100m excluding the Managing Director's (MD). The following benefits were provided to the company's MD:
   - Annual basic salary – Tk. 10m
   - Free residence: The company paid annually Tk. 6m for his residence.
   - Free car facility: The company has arranged a rental car for him for which the company is required to pay Tk. 1m per year. However, the MD has shown deemed income in his income tax return amounting to Tk. 120,000 in this regard.
   - The company has paid membership fees for different types of clubs on behalf of the MD amounting to Tk. 5m.
   - Incentive bonus paid to the MD during the year under consideration was Tk. 10m.
8) The gross profit ratios between the Local sales and export unit were 60%:40%, which was allowed by the tax authority to allocate common business profit between these units.
9) Administrative expenses include depreciation of Tk. 220m on PPE and Tk. 100m on Right of Use (RoU) assets respectively. Payment for the lease of RoU assets during the year is Tk. 150m. Interest expense on lease liability amounts to Tk. 40m. Depreciation as per the 3rd schedule amounts to Tk. 160m.

10) The company has fulfilled all the conditions to qualify for the benefit of a lower tax rate for export income and the lowest corporate tax rates applicable for a private limited company.
11) Administrative expense includes "Retirement benefit for current service cost amounting to Tk. 20m". Company has recognized gratuity fund. Company didn't pay to the fund any amount during the year.
12) The trading liability of the company amounting to Tk. 40m, which has been offered to tax for aging more than 3 years, was paid during the year.
13) Administrative expenses include local purchase of stationery amounting to Tk. 50m on which tax has not been deducted. Administrative expenses include the reversal of provision expenses amounting to Tk. 20m, which had been offered to tax in earlier years at the time of creating the provision.
14) Advance tax paid during the year:
    - Withholding tax suffered on export – Tk. 50m.
    - Withholding tax suffered on supply – Tk. 400m.
    - AIT for importing raw materials and finished goods – Tk. 150m.
    - Withholding tax suffered on Dividend – Tk. 2m.

Requirements:

a) Compute the total taxable income along with the basis of computation for the assessment year 2024-25. **[Marks-15]**

b) Compute the net tax liability for the assessment year 2024-25. **[Marks-5]**

Answer to the Question# 3(a):

XYZ Manufacturing Limited
Assessment year 2024-25 (Income Year 2023-24)

Computation of total income

Particulars	Note	Taxable (BDT)		Total (BDT)
		(Export)	(Local)	
Net profit before tax				2,760
Less: Incomes for separate consideration				
Share of profit from associate				(40)
Gain from sale of listed company's share				(30)
Gain from sale of Vehicle				(10)
Dividend Income				(20)
Shown business income				2,660
Allocation of income between export sales and local sales as per GP ratio [40:60]		1,064	1,596	2,660
Add: Exp. disallowed for separate consideration & for specific reason				
Accounting depreciation [for consideration as per 3rd schedule]		88	132	220
Depreciation on Right of Use Assets [disallowed u/s 55]		40	60	100
Unrealized foreign exchange loss [disallowed u/s 49 as it is un-realized]		60	90	150
Interest expense for finance lease	Note -1	-	-	-
Accrued interest expense on loan [disallowed u/s 52(1) as it is not really paid]		40	60	100
Retirement benefit cost [as the company did not transfer the amount to the fund]		8	12	20
Excess perquisites [disallowed u/s 55]	Annex-2	48	73	121
Excess promotion expense [disallowed u/s 55]	Annex-3	62	93	155
Excess royalties and technical fees [disallowed u/s 55]	Annex-4	93.6	140.4	234
Local stationary purchase [disallowed u/s 55 as tax was not deducted at source]		20	30	50
Less: Admissible Expenses				
Tax depreciation as per 3rd Schedule of Income Tax Act 2023		(64)	(96)	(160)
Actual Rent paid		(60)	(90)	(150)
Business loss from sale of motor Car	Annex-1	(0.20)	(0.30)	(0.50)
Trading liability paid during the year (suffered to tax for aging more than 3 years)	Note-2	(16)	(24)	(40)
Reversal of provisions on which tax has already suffered earlier	Note -3	(8)	(12)	(20)
Total business income after considering disallowances u/s 55		**1,375.8**	**2,063.7**	**3,439.5**
Add: Excess donation paid (350-311=39) to technical and vocational training institute u/s 77(2) (Max. 10% of the total income shown before allowing donation [2760+350=3,110] paid as per 6th schedule part-II)		(15.6)	(23.4)	(39)
Total business income including special business income u/s 56		**1,360.2**	**2,040.3**	**3,400.5**
Capital Gain from sale of listed company's share [to be taxed @ 15%]			30	30
Income from financial asset [dividend income] [to be taxed @20%]			20	20
Share of profit from associate on which tax rebate is applicable u/s 80	Note-5		nil	nil
Total income		**1,360.2**	**2,090.3**	**3,450.5**

Note: 1:

Total outstanding interest aging more than 3 years amounts to Tk. 50 million will not be disallowed because the provision of disallowances has been withdrawn/deleted through Finance Act,2024 at section 46(7).

Note-2:

According to the proviso of Section 46(8), any trading liability that was previously suffered for taxation due to being outstanding for more than 3 years should be excluded from the computation of business income in the year in which the liability is subsequently paid. In this instance, we observed that the company paid Tk. 40 million during the year, which had been suffered for taxation in an earlier year due to the trade payable aging beyond 3 years. Consequently, this amount has been deducted in the computation of the taxable income for the current year.

Note-3:

Administrative expenses include the reversal of provision expenses amounting to Tk. 20 million, which had been subjected to tax in previous years at the time the provision was created. Since tax has already been paid on this provisional amount, it should not be taxed again. It is understood that Tk. 20 million has been netted off against the administrative expenses. Therefore, it is necessary to separately deduct this amount from the profit.

Note-4:

As clarified in Paripatra 2023 (example 48), the Advance Income Tax (AIT) paid on any unsold items can be adjusted against tax liability in subsequent years, specifically in the year or years when the inventory items are sold.

Note-5:

As per section 80 tax rebate is applicable on taxed share of profit from associate. But tax rebate calculation is not possible due to minimum tax u/s 163. Otherwise, tax will come down than minimum tax which should not be. So, I assume that the tax paid by the associate and rebate u/s 80 is same. So, this income is not included in computing total income and tax on this taxed income is not calculated.

Annex 1: Calculation of the loss from sale of motor vehicle

Particulars	Amount in Million	
	Per Car	Total
Purchase price(10m X 10 Cars)	10	100
Max value for Depreciation as per 3rd schedule of the ITO,1984 [para 11(6)(a)]	2.5	25.00
Written Down Value [after allowing dep @ 20% 1st year and 10% 2nd year]	1.80	18.00
Sale proceed	7.00	70.00
Adjusted Sales proceeds (Sale proceed x max value for Dep /Purchase price) as per section 2(63) of the Act.(7 x 2.5 / 10)=1.75	1.75	17.50
Business loss on sale of motor vehicle [18-17.5]	**0.05**	**0.50**

Annex-2: Calculation of the Allowable Perquisite Expense

Particulars	*Amount in Million*	
	Amount	Amount
Excess perquisite other than MD		100
House Rent	6	
Annual Car Rental Facilities	1	
Membership fees	5	
Incentive Bonus	10	
Total	22	
Less: Admissible perquisite as per section 55(d)	1	21
Inadmissible Excess Perquisite		**121**

Annex 3: Calculation of the Allowable Promotional Expense

Particulars	Amount in Million	
	Amount	Amount
Expense claimed in the nature of promotional expense		
Discounts	80	
Rebates	40	
Free goods to distributors	90	210
Admissible promotional expense (Turnover x 0.5%) [As per section 55(j) of the Act, admissible up to 0.5% of business turnover]		55
Inadmissible Promotional Expense		**155**

Annex 4: Calculation of the Allowable Royalties and Technical Fees

Particulars	Amount in Million	
Expense claimed in the nature of Royalty Fees and Technical assistance fees		
Royalty	300	
Management Fees and software charges	200	500
Admissible expenses (As per section 55(e) disclosed business profit 2,660 x 10%)		266

Inadmissible amount for Royalty and Technical fees	234

Answer to the Question# 3(b):

Calculation of tax liability					
Source of income	Income	Tax rate	Tax liability	TDS [minimum tax]	Tax liability
Tax on export business Income u/s 163 other than special business income u/s 56	1,340.2	10%	134.02	50	134.02
Tax on local supply business u/s 163 other than special business income u/s 56	2,010.3	25%	502.58	530	530.00
Tax on special business income u/s 56	50	25%	12.5		12.5
Tax on capital gain from sale of listed company's share	30	15%	4.5		4.5
Tax on dividend Income	20	20%	4.0	2	4.0
(i) Minimum tax u/s 163(2)	3,450.5			582	**685.02**

Minimum tax liability based on the gross receipt u/s 163(5)			
Source of income	Gross receipts	Tax rate	Minimum tax
Business Income - 163 (Export) (0.60/25 x 10=0.24% due to reduced tax rate)	5,000	0.24%	12.00
Business Income - 163 (Local supply)	6,000	0.60%	36.00
Gain from sale of listed company's share (0.60/25 x 15=0.36% due to reduced tax rate)	30	0.36%	0.108
Dividend Income (0.60/25 x 20=0.48% due to reduced tax rate)	20	0.48%	0.096
(ii) Total Minimum tax liability based on the gross receipt u/s 163(5)			**48.204**
Tax liability (i and ii whichever is higher)			**685.02**

Less: tax already paid		
Withholding tax suffered on export	50	
Withholding tax suffered on supply	400	
AIT for importing goods (130 out of 150. Tk. 20 to be credited at next year)	130	
Withholding tax suffered on Dividend	2	582.00
Net tax liability		**103.02**

Question no 4

Sunrise Bangladesh PLC ('Sunrise Bangladesh') is a subsidiary of a global conglomerate Sunrise Corporation of Switzerland. Sunrise Bangladesh markets various electronics goods in Bangladesh, some of which it produces in its factory in Dhaka and others it sources from a contract manufacturer in China, Sunrise China Ltd, which is also a subsidiary of Sunrise Corporation. As per the group's transfer pricing policy, the contract manufacturer Sunrise China sold electronics goods to Sunrise Bangladesh at cost plus 7.2% mark-up in the fiscal year 2023-2024.

The following table contains the last five year's weighted average mark-up of uncontrollable comparable companies for contract manufacturing activities:

Company	Last 5 year's weighted average mark-up
X	10.3%
Y	8.7%
Z	6.5%
W	9.1%
V	7.8%
U	5.9%
T	6.2%
S	8.4%
R	12.6%

As per the Income Tax Act 2023, the Bangladesh taxing authority measures the arm's length range by the interquartile range of results, which consists of the results ranging from 30% to 70%, for which a certain number of data sets are required as per the provision of the Income Tax Act 2023.

Requirements:

a) Identify the arm's length mark-up range for contract manufacturing from the above table. **[Marks-8]**

b) Identify the arm's length mark-up in case the number of data sets available is only first 4 instead of 9 as given in the table above. **[Marks-3]**

Answer to the Question# 4(a):

At first, we need to re-arrange the data set in ascending order as follows:

SL. No.	Company	Last 5 year's weighted average mark-up
1	U	5.90%
2	T	6.20%
3	Z	6.50%
4	V	7.80%
5	S	8.40%
6	Y	8.70%
7	W	9.10%
8	X	10.30%
9	R	12.60%

Total number of data sets = 9

30th Percentile is = 9 x 30/100 = 2.7
Since this is not a whole number, the mark-up of 30th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 3 of the re-constructed table, which is 6.5%.

70th percentile is = 9 x 70/100 = 6.3
Since this is not a whole number, the mark-up of 70th percentile shall lie in the number succeeding the above number i.e., mark-up under Sl. No. 7 of the re-constructed table, which is 9.10%.

Therefore, the arm's length ranges between 30th percentile to 70th percentile is 6.5% - 9.10%.

Since 7.2% mark-up charged by Sunrise China falls within this range of 6.5% - 9.1%, it is deemed to be the arm's length price and as such no adjustment is required.

Answer to the Question# 4(b):

Section 235(2)(c) of the Income Tax Act 2023 provides that if the dataset is less than six entries, the arm's length price shall be the arithmetical mean of all the values included in the dataset.

Hence the arm's length price shall be as follows based on the values of first 4 data sets:

SL. No.	**Company**	**Last 5 year's weighted average mark-up**
1	**X**	10.30%
2	**Y**	8.70%
3	**Z**	6.50%
4	**W**	9.10%
Arithmetic Mean		**8.65%**

Hence, in case the number of data sets available is the first 4 only, the Arm's length price shall be 8.65% mark-up.

Question no 5(a):

Alvee Footwear Limited is a 100% export-oriented company that manufactures and exports shoes to European markets. The company operates a large manufacturing facility in Savar, Dhaka, employing over 1,500 workers. Known for its eco-friendly practices, the company provides a favorable working environment for its employees.

The management has decided to open a value shop within the factory premises, where employees can purchase daily groceries at prices lower than the market rate. By sourcing products in bulk directly from manufacturers and leading suppliers, the company plans to supply groceries to the employees without applying any mark-up. Consequently, the value shop will not generate any profit.

Despite taking steps to keep grocery prices low, management is concerned about the VAT at the supply stage, which they believe at 7.5% on the supply.

Requirement:

Advise Alvee Footwear Limited on a VAT-efficient strategy that will allow employees to purchase groceries at the lowest possible price. **[Marks 5]**

Question no 5(b):

Mobile Cash Limited is a mobile financial services provider that offers its customers the facilities of transfer cash, pay utility bills, and conduct other allowable financial transactions through a mobile app, "Go Cashless". The company charges 15% output VAT on all of its service fees and commissions. To support its business operations, the company installed information technology (IT) equipment which is integral to the mobile app.

However, the company has not claimed input tax credit on this IT equipment, as it does not qualify as "inputs" as defined in section 2(18A) of the VAT Act. The Finance Controller, however, believes that input tax credit should be allowed.

Requirement:

Advise the management of Mobile Cash Limited on whether input tax credit can be claimed for the IT equipment. **[Marks 5]**

Answer to the Question# 5(a):

Since Alvee is an exporter, it benefits from zero-rated VAT on its main export activities. However, the sale of products through an internal value shop to employees does not qualify for zero-VAT, as it is considered a domestic supply of goods. This type of supply is likely categorized under VAT regulations as taxable, require to comply with VAT laws. Further, such supply is potentially falling under trader. The company can apply the rate of VAT @5% (without availing input tax credit) or 15% (with availing input tax credit) to reduce the VAT burden on the employees [The rate of VAT for Traders and Procurement Providers are 7.5% and 10% respectively w.e.f. 09 January 2025].

Strategies to Minimize VAT Liability:

Separate VAT Registration for the Value Shop:

Alvee may consider registering the value shop for VAT purposes. By doing so, the value shop may charge VAT at standard rate on its sales of consumables to employees. This arrangement would allow the value shop to claim input VAT credits, reducing the net VAT payable and mitigating the overall VAT burden on sales.

Employee-Managed Procurement:

Another alternative is to structure the procurement of goods through collective employee efforts. Employees could directly purchase goods from suppliers, distributing them among themselves without any markup. This

approach could be interpreted as personal procurement for employee consumption. Consequently, output VAT may not apply, eliminating the need for separate VAT registration and simplifying compliance.

Answer to the Question# 5(b):

Sub-section 18(A) of section 2 defines "input" to include items such as raw materials, laboratory re-agents, laboratory equipment, laboratory accessories, any substance used as fuel, packing materials, service, machinery and spare parts. It specifically excludes certain items, such as labor, office equipment, furniture, office supplies, rent, travel, and entertainment expenses etc.

Accordingly, IT equipment may be categorized as office equipment, which, under the definition, would not qualify as an input for tax credit purposes.

However, machinery is allowed as input according to the above definition of input. If IT equipment falls under Machinery as defined in section 2(18KA) of the VAT & SD Act, 2012, Input Tax Credit on the same shall be allowed.

Question no 6:

Mr. Anand, a respected economist in Bangladesh, recently conducted a study that highlighted a concerning issue regarding the effective VAT rate in the country. Despite the standard VAT rate being 15%, the actual rate experienced by businesses is significantly higher due to a substantial amount of non-recoverable VAT. One of the primary contributors to this problem is the absence of VAT registration among government agencies. Although these agencies collect VAT through treasury deposits from service recipients, they are not obligated to obtain VAT registration under the VAT & SD Act 2012. Consequently, they do not issue VAT challans, which prevents taxpayers from claiming input tax credit and imposes additional costs on companies.

Given your expertise as a Chartered Accountant well-versed in both local and international VAT practices, Mr. Anand has sought your guidance on how to address this issue effectively. The objective is to ensure VAT payment by service providers while simultaneously enhancing the recovery of legitimate input tax credit.

Requirement:

Using examples from the existing VAT & SD Act 2012, where taxpayers can claim input tax credit when dealing with unregistered suppliers supplying services in Bangladesh, prepare a note to address this issue for the next amendment of the VAT law to ensure enhance input tax credit recovery. **[Marks-5]**

Answer to the Question# 6:

Issue:

In Bangladesh, government agencies/authorities are not registered or mandated to be registered under the VAT & SD Act 2012. However, these agencies/authorities collect VAT through treasury deposits from service recipients who are required to make these deposits in order to obtain important government licenses/permits or clearances necessary for business operations. As a result, government agencies/authorities do not issue Tax Invoice, which prevents taxpayers from claiming input tax credit. This situation imposes additional costs on companies, leading to higher effective VAT rates compared to the standard rate.

Proposal:

To address the issue of government agencies/authorities not being registered under the VAT & SD Act 2012, we can propose for implementing the Reverse Charged mechanism. This would require the service recipient to calculate and pay the VAT on behalf of the service provider. The service recipient would then report the VAT amount in their VAT return and claim it as input tax credit, following standard VAT regulations.

Justification:

The Reverse Charged mechanism is already in practice under the VAT & SD Act 2012 for the import of services (as referenced in section 20 of the VAT & SD Act 2012). Hence, we can extend this reverse charged mechanism for such government agencies/authorities, those are not registered or mandated to be registered under the VAT & SD Act 2012.

The reverse charged mechanism ensures that VAT is properly accounted for, even when the supplier is not registered for VAT. It helps to prevent tax evasion and ensures that the VAT liability is appropriately addressed within the VAT system. Additionally, this mechanism helps capture untapped economic activity.

Question no 7(a):

The Customs, Excise, and VAT Commissionerate - Dhaka (North) recently concluded an audit of Star Limited, covering the period from July 2017 to June 2023, spanning a total of five years. Subsequently, the Directorate of Audit, Intelligence and Investigation-VAT has issued a new letter indicating their intention to conduct a VAT audit for the period from July 2018 to June 2024. This new audit request does not specify any particular allegations.

The management of Star Limited is perplexed and uncertain about the appropriate course of action, given that a portion of the period in question has already been audited by a different VAT authority.

Requirement:

As the VAT manager of Star Limited, give your comments to the management on the legal aspects involved in this matter. **[Marks-5]**

Question no 7(b):

Vodafone Limited operates in Bangladesh under licenses for 4G and 5G services granted by the Bangladesh Telecommunication Regulatory Commission (BTRC). As part of the licensing agreement, Vodafone is obligated to pay an annual license fee of Taka 1 Crore. However, BTRC has not issued any tax invoices, and the National Board of Revenue (NBR) has not recognized BTRC's commercial invoices as valid tax invoices. Due to the absence of a valid tax invoice, Vodafone has deducted the entire VAT amount and claimed the input tax credit (ITC) in its VAT return based on the treasury challan.

VAT Commissioner of the Large Taxpayer Unit (LTU) has issued an order disallowing the claimed ITC, stating that ITC cannot be claimed based on the treasury challan. Given the significance of the amount of the ITC, the management of Vodafone is considering the next steps.

Requirement:

As the VAT manager of Vodafone, evaluate the position taken by the VAT authority and outline the remedial measures available to the company.**[Marks-5]**

Question no 7(c):

Toshiba Medical Systems, US (Toshiba US) is a manufacturer of advanced medical equipment such as CT scans, MRIs, Ultrasound machines, and Endoscopy devices. Hospitals and diagnostic centers in Bangladesh directly import these medical devices from Toshiba US, which is located outside of Bangladesh. These medical devices typically come with a standard warranty that covers installation, repair, and maintenance for a specified period.

To facilitate the installation and repair & maintenance services during the warranty period, Toshiba Medical Systems, US has entered into an agreement with Toshiba Medical Systems Bangladesh Private Limited (Toshiba Bangladesh). According to this agreement, Toshiba Bangladesh will provide the installation and repair & maintenance services to customers in Bangladesh at no additional charge to the customers. In return, Toshiba Bangladesh will receive a service fee from Toshiba US, which will be received in foreign currency.

Requirement:

Based on the above scenario, explain the VAT implications on the services provided by Toshiba Bangladesh to Toshiba US. **[Marks-5]**

Answer to the Question# 7(a):

Currently, the authority to conduct VAT audit lies with the Jurisdictional VAT Commissionerate, the Central Intelligence Cell, and the Directorate of Audit, Intelligence and Investigation-VAT. The selection process for VAT audit is presently conducted manually.

According to Section 93 of the VAT & SD Act, 2012, a taxpayer cannot be selected for VAT audit more than once for the same tax period. However, if the Commissioner possesses specific and reliable information indicating tax evasion, a second audit for the same period may be conducted.

In this scenario, Star Limited should communicate with the Directorate of Audit, Intelligence and Investigation-VAT, stating that since the audit for the period up to June 2023 has already been completed, only the remaining period from July 2023 to June 2024 can be considered for the VAT audit.

Answer to the Question# 7(b):

Legal Requirement for Claiming Input Tax Credit (ITC): Under section 46 (3)(b) of the VAT & SD Act, 2012, a registered taxpayer must possess a valid tax invoice issued by the supplier to be eligible to claim Input Tax Credit (ITC). In this scenario, the statement made by the Commissioner (VAT) of the Large Taxpayer Unit (LTU) may be considered legally valid, even though it is the supplier's responsibility to issue a valid tax invoice.

Next Course of Action for Vodafone:

1. **Filing an Appeal:**
    - Vodafone may consider filing an appeal before the Customs, Excise, and VAT Appellate Tribunal within 90 days from the Commissioner's order.
    - If the Tribunal's decision is unfavorable, the company may then consider filing an appeal before the High Court Division of the Bangladesh Supreme Court.
2. **Filing a Writ Petition:**
    - The company may also contemplate filing a Writ petition before the High Court.
    - The purpose of this petition would be to issue a directive to the Bangladesh Telecommunication Regulatory Commission (BTRC) to get registered for VAT and issue the necessary tax invoices.

Answer to the Question# 7(c):

In accordance with Section 24(10) of the VAT & SD Act, 2012, services provided for goods under warranty obligations are classified as "zero-rated" provided the following conditions are met:

i) Services must be rendered under an agreement with a non-resident and unregistered supplier, and the non-resident supplier is responsible for paying the service fee.
ii) No charges should be imposed on the customer of the non-resident located in Bangladesh.

In the given scenario, both conditions are fulfilled. Therefore, the service provided by Toshiba BD to Toshiba US should be considered a zero-rated service.

Question no 8(a):

ACI Limited is a prominent conglomerate in Bangladesh, specializing in the production of various fast-moving consumer goods (FMCG). Among its diverse product range, "Savlon Soap" is recognized as one of ACI's flagship brands in the country. The Company frequently imports a variety of raw materials (RM) from its affiliated entity based in India.

One of the key raw materials for soap manufacturing is "Soap Noodles". ACI consistently imports these "Soap Noodles" under the Harmonized System (HS) Code 2915.70.31, which is subject to the standard import duty. The regular import duty applicable under HS Code 2915.70.31 is as follows:

H. S. code	CD	RD	SD	VAT	AT	AIT	TTI
2915.70.31	25	3	10	15	5	5	73.96

SRO No. 164-AIN/2024/16/Customs, dated May 29, 2024, grants an exemption from Customs duty (CD) and Supplementary duty (SD) beyond the rates specified in the table below, as well as a complete exemption from Regulatory duty (RD):

H.S. code	Description of goods	CD%	SD%

2915.70.31	Sodium salt of palmitic acid **(soap noodle)** imported by Industrial IRC holder VAT compliant soap manufacturing industry	10	0

In November 2024, the company imported Soap Noodles valued at USD 10,000. The freight cost for this import was USD 2,000. The Customs authority has applied the standard rate for insurance and landing costs as per the valuation rules. The exchange rate from USD to Tk. is set at 115. The company holds an industrial IRC and regularly files VAT returns through the VAT online portal.

Requirements:

i) What are the effective rates of Customs Duty (CD), Supplementary Duty (SD), Regulatory Duty (RD), and Advance Tax (AT) for the assessment of the imported goods? **[Marks-4]**

ii) Calculate the assessable value and import duties required for the clearance of imported goods. **[Marks-6]**

[Note: 2 marks will be awarded for determining the assessable value and 1 mark for each import duty calculation]

Question no 8(b):

Hope Bangladesh Ltd operates in the consumer goods sector in Bangladesh. It has a factory located in Bogra, where it produces high-quality consumer goods using raw materials imported from various countries. Hope follows an efficient inventory management system, such as Just in Time (JIT), and has a robust demand planning process in place. Recently, a consignment of raw materials imported from the Philippines has been disputed by the Customs Authority regarding the appropriate Harmonized System (H.S.) code. Despite having strong justification and supporting evidence, including an Advance Ruling decision from other countries, the Customs Authority insists on assessing the goods based on their determined H.S. code. If this happens, Hope will be required to pay duties at a rate twice as high as the value declared by Hope.

The procurement team is eager to have the goods released immediately, while the Customs Authority is unwilling to release the goods without receiving the duties based on their assessment.

Requirement:

As the Tax Manager of Hope, advise the company on the possible options that it should follow to release the goods without prejudicing its legal rights. **[Marks-5]**

Answer to the Question# 8(a)(i):

To benefit from the import duty exemption under SRO No. 164-AIN/2024/16/Customs dated 29 May 2024, a company must hold an Industrial IRC and be a VAT-compliant soap manufacturing entity. In this scenario, it is understood that the company possesses the Industrial IRC and consistently files VAT returns through the VAT online system, indicating its compliance as a VAT-compliant soap manufacturing entity. Therefore, the company qualifies for the reduced import duty as specified in the aforementioned SRO.

Additionally, as per section 31(2) of the VAT & SD Act, 2012, the applicable rate of Advance Tax (AT) for manufacturer for the import of raw materials is 3%. Accordingly, the effective import duties would be as follows:

CD = 10%
SD = 0%
RD = 0%
AT = 3%

Answer to the Question# 8(a)(ii):

The assessable value and import duties applicable to the imported goods are as follows:

Calculation of assessable value and import duties			
Particulars	**Rate**	**Basis**	**Amount**
Invoice Value		A (USD 10,000 x 115)	1,150,000

Freight		B (USD 2,000 x 115)	230,000
CFR Value		C = A+B	**1,380,000**
Insurance	1%	D = C x 1%	13,800
CIF Value		E = C + D	**1,393,800**
Landing Charge	1%	F = E x 1%	13,938
Assessable Value (AV)		**G = E + F**	**1,407,738**
CD	10%	H = G x 10%	**140,774**
RD	0%	I = G x 0%	**-**
SD	0%	J = (G + H + I) X 0%	**-**
VAT	15%	K = (G + H + I + J) X 15%	**232,277**
AIT	5%	L = G x 5%	**70,387**
AT	3%	M = (G + H + I + J) X 3%	**46,455**
Total Import Duties and taxes		N = H+I+J+K+L+M	**489,893**

Answer to the Question# 8(b):

If Hope proceeds with payment of duties and releases the goods based on the Customs-assessed H.S. code and value, it will be deemed that the value declared by Hope is untrue. Consequently, in addition to paying additional duties, Hope may face penal measures under the law, which it should not accept. Therefore, without prejudicing its legal rights, Hope may consider the following measures depending on the circumstances:

1) Hope may choose to pursue provisional assessment under section 93(1) of the Customs Act 2023. Under this provision, Hope can apply to the Customs authority for verification of the H.S. code, stating that the goods require further tests or inquiry for accurate assessment. Hope can release the goods by providing a bank guarantee for the difference between the assessed duties and taxes by the Customs Authority and the assessed duties and taxes as per Hope's declaration, pending completion of the lab report or inquiry. The Customs Authority may release the goods upon receipt of the bank guarantee from Hope.

2) If there is urgency, Hope may consider releasing the goods under protest by paying the full duties and taxes based on the Customs-assessed H.S. code value. In this case, Hope should formally communicate to the Customs Authority that, although the duties and taxes are paid as per the Customs Authority's assessed value, the assessment itself is being challenged and not accepted. Once Hope obtains a favorable order, it can seek a refund of the excess duties paid, although the refund process is very cumbersome.

---The End---